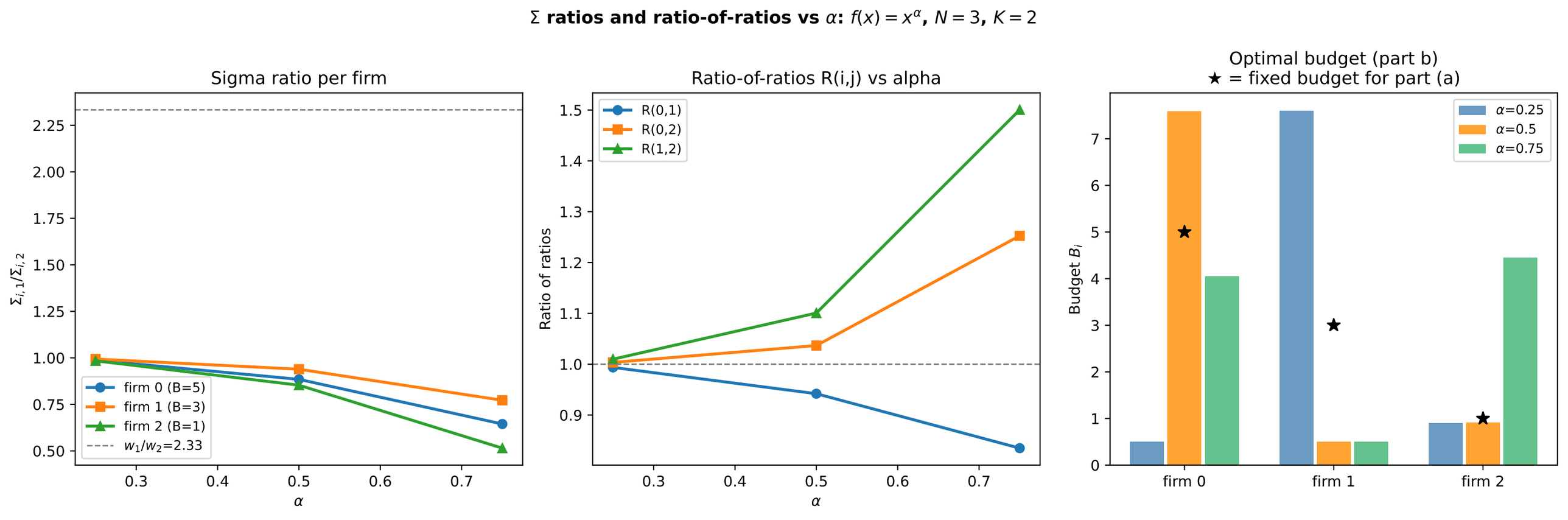
Σ ratios and ratio-of-ratios vs α: f(x) = x^α, N = 3, K = 2
Sigma ratio per firm
$\Sigma_{i,1}/\Sigma_{i,2}$
α
firm 0 (B=5)
firm 1 (B=3)
firm 2 (B=1)
w_1/w_2=2.33
Ratio-of-ratios R(i,j) vs alpha
Ratio of ratios
R(0,1)
R(0,2)
R(1,2)
Optimal budget (part b)
★ = fixed budget for part (a)
Budget B_i
α=0.25
α=0.5
α=0.75
firm 0
firm 1
firm 2